CONSULTING BUSINESS MODELS



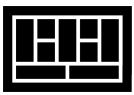
THE BUSINESS
MODEL ANALYST

This PDF File was purchased by Muchamad - kurniatisri952@gmail.com
Copyright The Business Model Analyst - https://businessmodelanalyst.com/ - Distribution prohibited

SUPER GUIDE:

CONSULTING BUSINESS MODELS

BY DANIEL PEREIRA



THE BUSINESS
MODEL ANALYST

This PDF File was purchased by Muchamad - kurniatisri952@gmail.com
Copyright The Business Model Analyst - https://businessmodelanalyst.com/ - Distribution prohibited

© THE BUSINESS MODEL ANALYST

The Business Model Analyst is a website dedicated to analyzing business model types, patterns, and innovations using the business model canvas as its primary tool. The site offers a wide variety of free and premium content, including digital products such as PDF tools, presentations, spreadsheets, ebooks & guides, and much more. **Check it out here.**

Daniel Pereira
The Business Model Analyst Ottawa, ON, Canada
businessmodelanalyst.com

This PDF File was purchased by Muchamad - kurniatisri952@gmail.com
Copyright The Business Model Analyst - https://businessmodelanalyst.com/ - Distribution prohibited

Copyright © 2022 Daniel Pereira

All rights reserved.

ISBN: 978-1-998892-07-5

This PDF File was purchased by Muchamad - kurniatisri952@gmail.com
Copyright The Business Model Analyst - https://businessmodelanalyst.com/ - Distribution prohibited

TABLE OF CONTENTS

The Right Consulting Business Model 7

Scoring Elements Business Models 9

4 Proven Consulting Business Models 10

- Firm Model 10
- Solo/Independent Model 11
- Productized Model 12
- Hybrid Model 13

3 New Consulting Business Models 14

- Collaborative Consulting 14
- Continuous Consulting 15
- Instant Consulting 15

4 Innovation Shifts Of Consulting Business Models 17

- From Hiring A Team To Offering Flexible Access To Top Talent 17
- From Staffing Projects With People To Commercializing Expertise 19
- From Consulting To Solutions 19
- From Fixed Fees To Aligning Fees With The Client's Success 20

Examples Of Big Consulting Firms New Business Models 22

- Bloomberg's Data-Based Consulting Model 22
- Accenture's Expanded Value Proposition 22
- Mckinsey's Productized Approach 23
- Eden Mccallum's Consulting Meets The Gig Economy 23
- Glg Introduces The As-A-Service Model 23

This PDF File was purchased by Muchamad - kurniatisri952@gmail.com
Copyright The Business Model Analyst - https://businessmodelanalyst.com/ - Distribution prohibited

Conclusion 25
References 26
About The Author 27

This PDF File was purchased by Muchamad - kurniatisri952@gmail.com
Copyright The Business Model Analyst - https://businessmodelanalyst.com/ - Distribution prohibited

THE RIGHT CONSULTING BUSINESS MODEL

What is the right consulting business model for you? First of all, as with any other business model, there is always some kind that seems to be hot at the moment, something that cannot go wrong. But that is not true.

You need to choose a consulting business model that fits you, your lifestyle, and your goals. For example, have you decided on the ideal size firm?

- Do you want to be a solo consultant, and work by yourself?
- How many employees would you like to have in your firm?
- Do you prefer to manage teams and processes?

And what about the revenues? Have you thought about how much you aim to reach?

- A firm of a million dollars a year?
- Or a-million-dollar-year personal income?
- Are you able to manage staff's paycheck?
- Do you intend to scale the business?

This PDF File was purchased by Muchamad - kurniatisri952@gmail.com
Copyright The Business Model Analyst - https://businessmodelanalyst.com/ - Distribution prohibited

Moreover, you must consider what you enjoy doing as a consultant and how complex you'd like your business to be.

- Would you like to manage a great infrastructure, with plenty of employees and systems?
- Would you rather have a simple business, which offers one service or one product only?
- Or do you want to work directly with your clients?

There is no one right answer for all of these - and other - questions that may conduct your choices. Therefore, there is no one right consultant business for everyone. Each consultant must analyze and decide based on personal decisions what type of consulting business model will fit them.

This PDF File was purchased by Muchamad - kurniatisri952@gmail.com
Copyright The Business Model Analyst - https://businessmodelanalyst.com/ - Distribution prohibited

SCORING ELEMENTS BUSINESS MODELS

Sioo, a professional services firm, has launched an extensive study into trends in the management consulting industry.In collaboration with the Vrije Universiteit (VU), Amsterdam, the research documents the trends the industry is experiencing.

The research shows that the traditional model of consulting, with junior consultants, hourly fees, and selling advice, is still the dominant model.

Nevertheless, the majority have introduced innovative elements into their business model - only 15% of consultancies still work in a one-sided approach.

Fast impact on clients, collaborations with other consultancies, and specialization on service have become part of many consulting businesses.

This PDF File was purchased by Muchamad - kurniatisri952@gmail.com
Copyright The Business Model Analyst - https://businessmodelanalyst.com/ - Distribution prohibited

4 PROVEN CONSULTING BUSINESS MODELS

There are four traditional, tried, and true consulting business models. They are:

FIRM MODEL

This is basically a typical consulting firm, with many consultants and associates. Usually, when you begin the business, you will do a bit of everything. But, as the company grows and moves on, you will focus on hiring, training, management, strategy, and business development. It is your team who will deal directly with the clients.

Therefore, the revenues will be the difference between what clients pay the company and what you pay the team. The more clients, the bigger the revenue.

Advantages of the firm model:

- You can scale the business by adding more consultants, but the staff does not have to grow at the same amount of clients.
- You don't need to do all the day-to-day client work.
- The company runs well without your presence.

This PDF File was purchased by Muchamad - kurniatisri952@gmail.com
Copyright The Business Model Analyst - https://businessmodelanalyst.com/ - Distribution prohibited

- The company is a valuable asset, easy to sell.

Disadvantages of the firm model:

- The company demands a lot of people management.
- Profit margins can be low.
- The business requires infrastructure for running.
- Lots of human resources depend on you.

SOLO/INDEPENDENT MODEL

As the name states, the business is basically you - sometimes, contractors or assistants as well. So, you will take part in everything, from face-to-face client work to marketing and administration. That's why your profit will depend on a few valuable clients.

Advantages of the solo model:

- It is a lean and profitable business.
- It is flexible and easily adaptable.
- You can customize your work according to your lifestyle.

Disadvantages of the solo model:

- You are the business, if you don't work, you don't get paid.
- It is hard to sell, since you are the face of the company.

This PDF File was purchased by Muchamad - kurniatisri952@gmail.com
Copyright The Business Model Analyst - https://businessmodelanalyst.com/ - Distribution prohibited

PRODUCTIZED MODEL

This model is usually born inside one of the two models above. You identify some pain in your client and develop a solution to solve it.

The product will be 80% of your business (with about 20% of customizations). All its systems and processes are targeted to solve a core problem for that specific kind of client - over and over again. And this repetition builds efficiency.

With everything in place (delivery, service, sales, marketing, and staff), you can scale.

Advantages of the productized model:

- You build a salable asset.
- You have recurring revenue.
- It is easier to scale.
- You can be out of day-to-day work.

Disadvantages of the productized model:

- Your work will be doing the same over and over.
- You need human resources to keep it running.
- You must invest in hiring and training.
- You may need to manage lots of clients simultaneously.

This PDF File was purchased by Muchamad - kurniatisri952@gmail.com
Copyright The Business Model Analyst - https://businessmodelanalyst.com/ - Distribution prohibited

HYBRID MODEL

The hybrid model is the consulting business where you select elements from more than one of the models above and create your own, is a way that fits your necessity and expectation.

This PDF File was purchased by Muchamad - kurniatisri952@gmail.com
Copyright The Business Model Analyst - https://businessmodelanalyst.com/ - Distribution prohibited

3 NEW CONSULTING BUSINESS MODELS

Like many other contemporary industries, the consulting business is undergoing several trends and disruptions. These changes bring more specialized services, specific markets, and faster client impact. As a result, three new consulting business models have emerged:

COLLABORATIVE CONSULTING

As the name says, it is about multiple consultants working together. It is a network of firms collaborating with expertise, information technology, tools, and knowledge to meet client needs. By connecting work, the consultants access a broader knowledge while creating flexibility to deliver value to clients.

Consulting models like this reduce fixed costs because it allows access to talent out of their payroll. However, that demands attention to financial planning, since this can lead to high variable costs also.

Different partners may enter or leave projects as needed, thus teaming up for specific projects and providing specialized insights and services. In general, there are two sub-models within collaborative consulting:

- ***Closed networks*:** a fixed set of companies collaborating repeatedly on client assignments. The

This PDF File was purchased by Muchamad - kurniatisri952@gmail.com
Copyright The Business Model Analyst - https://businessmodelanalyst.com/ - Distribution prohibited

long-term and intensive relationships lead to more intensive knowledge sharing, resulting in improved value propositions.

- ***Open networks***: firms collaborate on projects in multiple constellations, possibly with different partners for different projects. During a project, partners may enter or leave. The firms must be capable of obtaining knowledge and agility to meet changes according to demand.

CONTINUOUS CONSULTING

This model centers on data analytics and subscriptions to deliver permanent solutions that clients can use every day, such as benchmarking, diagnostics and analytics in pricing, organizational structure, lean operations, corporate performance and much more.

The firm uses its expertise and strategic insights to provide tools and processes, migrating from a one-time income to an evergreen model, which creates ongoing value for clients and generates recurring revenues through subscription-based services.

Also, these solutions deployed by continuous consultants attract clients for repeated use, because they help navigate regularly occurring problems. On the other hand, it is an easier model for established brands and harder-to-sell for new firms.

INSTANT CONSULTING

As the name proposes, instant consulting offers faster value and results. It is about projects that don't require extensive research in advance, thus enabling advising, execution and

This PDF File was purchased by Muchamad - kurniatisri952@gmail.com
Copyright The Business Model Analyst - https://businessmodelanalyst.com/ - Distribution prohibited

implementation in the shortest time possible.

A case example is when a client needs a financial expert to help their business establish better accounting practices. The consultant can get to work and apply their knowledge and experience kind of immediately, without a long-term project.

This model benefits environments where agility is key to keeping pace with competitors, allowing clients to gain ground on their rivals (or maintain their lead). And companies can measure results from day one.

These new business models are on the rise, but not yet having a major impact on the consulting industry. However, the trends driving them can bring some significant shifts to the industry, and consultants might have to adapt the way they do business to remain competitive, which means we may see a greater impact by these new models in the years ahead.

This PDF File was purchased by Muchamad - kurniatisri952@gmail.com
Copyright The Business Model Analyst - https://businessmodelanalyst.com/ - Distribution prohibited

4 INNOVATION SHIFTS OF CONSULTING BUSINESS MODELS

The typical consulting business model is based on two main ideas: hiring talents and charging clients for gaining access to these talents. It's basically about selling sophisticated expertise. Nevertheless, despite most of the industry works that way, new business models have risen in recent years, creating value both for clients and the consulting industry:

FROM HIRING A TEAM TO OFFERING FLEXIBLE ACCESS TO TOP TALENT

The traditional model utilizes consultants as much as possible and puts as many consultants on the teams as possible. The problem here is the client hardly ever gets to choose the consultant they want to work with.

The European-based management consultancy EdenMcCallum decided to make it differently. They have a wide network of highly experienced, independent consultants whose expertise is offered to the clients.

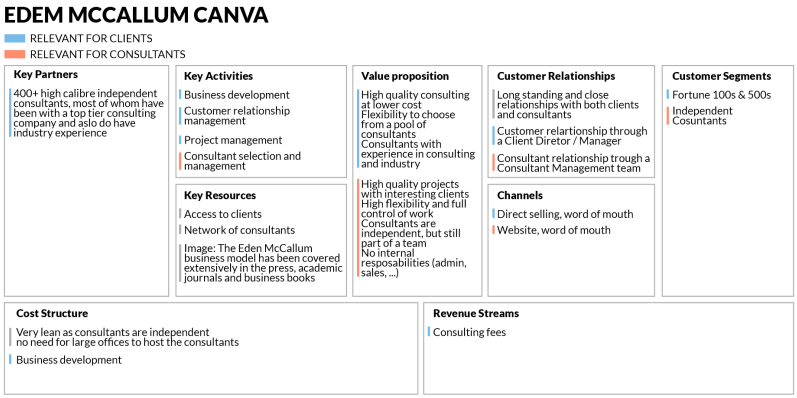
Clients, thus, can choose the consultants they would like to work with. Experienced clients usually know best what they

This PDF File was purchased by Muchamad - kurniatisri952@gmail.com
Copyright The Business Model Analyst - https://businessmodelanalyst.com/ - Distribution prohibited

need and can make better buying decisions, while EdenMcCallum also seeks to find the best match between client and consultant.

EdenMcCallum partners are responsible for selling the projects but do not manage them. The consultants, on the other hand, are not pressured to sell new projects, can focus on delivering successful ones, and enjoy the flexibility to decide how much they would like to work.

So, Eden McCallum has succeeded in creating a new business model that takes advantage of a freelancing trend and the desire of many professionals to work independently, having more control of their careers, as well as the trend of clients who also want to have more control and value in the consulting process.



This PDF File was purchased by Muchamad - kurniatisri952@gmail.com
Copyright The Business Model Analyst - https://businessmodelanalyst.com/ - Distribution prohibited

FROM STAFFING PROJECTS WITH PEOPLE TO COMMERCIALIZING EXPERTISE

Expertise can also be available through products and tools instead of personal consultation. This way of providing consultancy generates new revenue streams.

For example, the New York based trend research consultancy PSFK sells reports on various industries and areas, with customized research services that provide strategic advice for the clients. This consulting company has a global network of experts, who put their reports together.

PSFK CANVA

BUSINESSES

Key Partners	Key Activities	Value proposition	Customer Relationships	Customer Segments
Network of experts on various topics	Research Consulting	Inspiring creative business Blog Publishing: Future of ... Reports Innovation Consulting: psfk labs Trends research and future scenarios Throught leadership events and workshops Branded editorial and content strategy Products concepting and development	Long-term	Individuals Businesses
	Key Resources Brand reputation Methods to discover trends		**Channels** www.psfk.com PSFK Conferences Social media: Twitter, Facebook, Pinterest, Google+, Slideshare,... Customized intranet sites	

Cost Structure	Revenue Streams
Editors Writers	Sales of reports PSFK Conferences Advertising and Sponsoring Consulting services

FROM CONSULTING TO SOLUTIONS

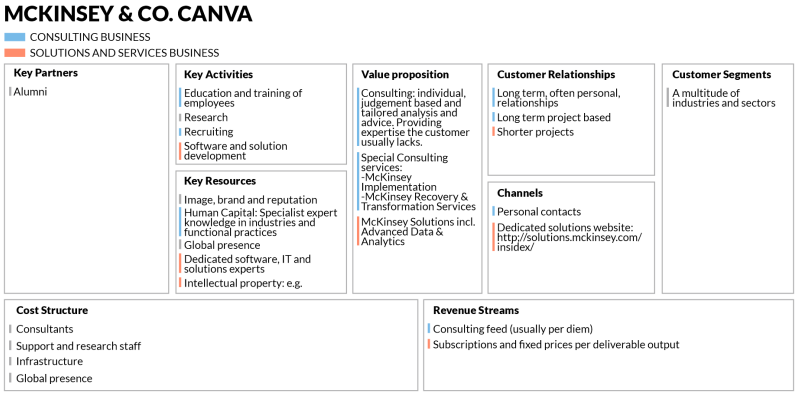
Consultancy can also be sold in the form of repeatable and standardized solutions. McKinsey Solutions has created software and technology tools based on their clients' problems.

This PDF File was purchased by Muchamad - kurniatisri952@gmail.com
Copyright The Business Model Analyst - https://businessmodelanalyst.com/ - Distribution prohibited

Now they offer solutions for data analytics and data-driven decision-making in several functions and industries.

The clients will pay for a product, usually through licensing agreements, and they will receive it in a shorter timeframe than the traditional consulting process.

And, for the consulting business, there is a steady revenue stream, which also fosters longer customer relationships.



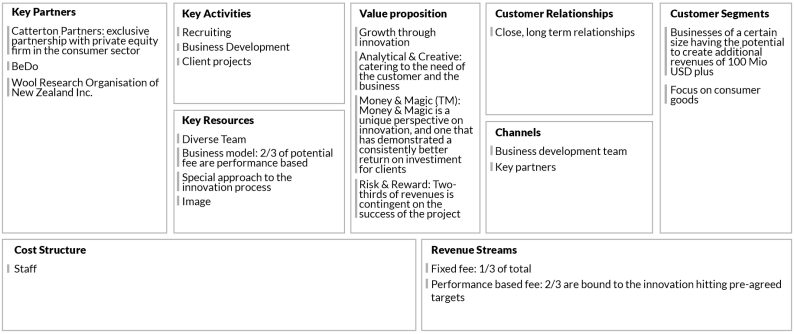
FROM FIXED FEES TO ALIGNING FEES WITH THE CLIENT'S SUCCESS

The shift may also occur in the way of charging the clients. Unlike the typical sales of hours spent, the New York based innovation consultancy Fahrenheit 212 charges clients for objectives achieved.

2/3 of the company's fee depends on the achievement of pre-defined goals. So, the clients will only pay if the output of the consultants' work is successful, thus reducing their risk.

This PDF File was purchased by Muchamad - kurniatisri952@gmail.com
Copyright The Business Model Analyst - https://businessmodelanalyst.com/ - Distribution prohibited

FAHRENHEIT 212 CANVA



This PDF File was purchased by Muchamad - kurniatisri952@gmail.com
Copyright The Business Model Analyst - https://businessmodelanalyst.com/ - Distribution prohibited

EXAMPLES OF BIG CONSULTING FIRMS NEW BUSINESS MODELS

BLOOMBERG'S DATA-BASED CONSULTING MODEL

Bloomberg started in the consulting business by offering marketing strategy, communications, and brand consulting advice. But now digitization has revolutionized its business. They have converged several business models, including media, ad spending, and consulting, all in one, grounded in data.

ACCENTURE'S EXPANDED VALUE PROPOSITION

Accenture expanded its value proposition by acquiring Fjord, a global design consultancy. The objective is to show the clients how design can improve their businesses, allowing great return from minimum effort, by putting design in every system and process.

This PDF File was purchased by Muchamad - kurniatisri952@gmail.com
Copyright The Business Model Analyst - https://businessmodelanalyst.com/ - Distribution prohibited

MCKINSEY'S PRODUCTIZED APPROACH

As mentioned above, McKinsey has created some solutions based on their clients' problems. It was a way to get most out of their intellectual property, thus capitalizing its collective knowledge, by applying it in over 20 solutions that combine data, analytics, software, and advice.

EDEN MCCALLUM'S CONSULTING MEETS THE GIG ECONOMY

Eden McCallum, as shown before, is the proof that freelancing can be interesting for both clients and consultants. The firm built a wide network of independent consultants that can match clients according to their necessity.

While the consultants will only focus on executing the project, the firm's partners will be responsible for selling projects and managing clients.

This reduces costs, offers more freedom and control to consultants, as well as more decision-power to clients.

GLG INTRODUCES THE AS-A-SERVICE MODEL

The professional learning services company Gerson Lehrman Group (GLG) offers on-demand services to clients from

This PDF File was purchased by Muchamad - kurniatisri952@gmail.com
Copyright The Business Model Analyst - https://businessmodelanalyst.com/ - Distribution prohibited

different industries, by providing a subscription business model that ensures access to its network of experts.

The as-a-service business model allows consultants to have more long-term work, with smaller volume, rather than large-scale projects for a fixed period.

Subscription pricing instead of billable hours is not very common yet, but more and more niche firms are exploring this possibility.

This PDF File was purchased by Muchamad - kurniatisri952@gmail.com
Copyright The Business Model Analyst - https://businessmodelanalyst.com/ - Distribution prohibited

CONCLUSION

Like any other venture that a business person may attempt, there is no RIGHT or BEST business model regarding consultancy. Many factors, whether personal or from the market and environment, may influence your choice.

You should not simply decide for one model because it is the latest trend, or because it is being a successful enterprise in someone else's hands. There is no right answer for everyone and anyone.

Consider your situation, your market, your experience, your goals, and, only after analyzing everything carefully, make the most accurate decision about the best consulting business model for you.

This PDF File was purchased by Muchamad - kurniatisri952@gmail.com
Copyright The Business Model Analyst - https://businessmodelanalyst.com/ - Distribution prohibited

REFERENCES

The following references were consulted to create this Super Guide:

- https://www.consultingsuccess.com/consulting-business-models
- https://innovationmanagement.se/2015/07/13/reinventing-the-consulting-business-model/
- https://www.consultancy.uk/news/23120/three-new-business-models-in-the-consulting-industry
- https://www.graphite.com/blog/3-new-consulting-business-models/

This PDF File was purchased by Muchamad - kurniatisri952@gmail.com
Copyright The Business Model Analyst - https://businessmodelanalyst.com/ - Distribution prohibited

ABOUT THE AUTHOR

Daniel Pereira is a Brazilian-Canadian entrepreneur that has been designing and analyzing business models for over 15 years. You can read more about his journey as a Business Model Analyst **here**.



E-mail Daniel if you have any questions at: daniel@businessmodelanalyst.com
You can connect with Daniel at Linkedin: https://www.linkedin.com/in/dpereirabr/

This PDF File was purchased by Muchamad - kurniatisri952@gmail.com
Copyright The Business Model Analyst - https://businessmodelanalyst.com/ - Distribution prohibited



THE BUSINESS
MODEL ANALYST

This PDF File was purchased by Muchamad - kurniatisri952@gmail.com
Copyright The Business Model Analyst - https://businessmodelanalyst.com/ - Distribution prohibited